

Duration: 2 Hours

Max. Marks: 50

NOTE: - 1. All Questions are compulsory (10 marks each).
2. Figures to the right indicate full marks.

Q1 A Case Study Analysis

14 marks

In 2009, the Indian IT giant Satyam Computers shocked the corporate world when its Chairman, Ramalinga Raju, confessed to inflating company profits by over ₹7,000 crores. This scandal exposed significant flaws in accounting practices and corporate governance. Satyam's auditors, PricewaterhouseCoopers (PwC), failed to detect these discrepancies over several years, raising questions about auditor independence and ethical responsibility. The company's board approved the acquisition of two firms owned by Raju's family, which was seen as a blatant conflict of interest. This decision triggered investor skepticism, leading to an investigation. The lack of oversight by the board, manipulation of financial records, and unethical behavior by senior executives were major contributors to the collapse. This scandal resulted in significant financial losses for investors and damaged trust in India's corporate sector. Following the incident, regulatory reforms like the Companies Act 2013 and stricter SEBI guidelines were introduced to enhance transparency and accountability. The Satyam case is a classic example illustrating the importance of ethical behavior in accounting and robust corporate governance structures. It underscores how weak ethical standards and lack of oversight can lead to catastrophic consequences for stakeholders.

Questions:

A} Explain the role of accounting ethics in the Satyam scandal. How could ethical accounting practices have prevented the crisis?

B} Analyze how poor corporate governance contributed to the Satyam scandal. Suggest key governance reforms that could prevent such fraud.

OR

Q.1.B Answer the following (Any one)

14 Marks

- 1 Define Accounting Ethics. Explain why professional ethics are essential for accountants
- 2 Discuss the various threats to auditor independence and the safeguards to mitigate these threats. Illustrate with examples.

12 marks

Q.2 Answer the following (Any one)

A How does it ensure quality control within audit firms?

OR

B What are the preconditions for an audit as per SA 210?

12 marks

Q.3 Answer the following (Any one)

A Discuss the evolution of corporate governance and explain its need and scope in the modern corporate environment.

OR

B What are the OECD Principles of Corporate Governance?

12 marks

Q.4 Answer the following (Any one)

A Explain the corporate governance requirements applicable to listed companies and public sector undertakings (PSUs) in India.

OR

B Who are Independent Directors? Describe their role and responsibilities in ensuring board effectiveness.